

Table 43.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Subtract the highest high from the lowest low in the horn (to get the pattern's height) and add it to the highest high. The result is the target price. The bottom portion of the table shows the success rate of the measure rule using various heights.
Identify	Use the characteristics outlined in Table 43.1 to correctly identify a horn bottom. The week after the right bottom is key. Price should climb smartly, and the weekly low should not be anywhere near the horn low (in other words, the horn should still look like a horn and not be encroached on by the succeeding price action).
Uptrends	Some horns appear near the end of uptrends, so watch for the trend to change.
Downtrends	Horns will usually not mark the end of the downtrend, but they will be close. Price might continue to drift down for \$1 or so (below the lowest spike low) and then head upward.
Stop location	See Table 43.7 for guidance.

Description	Bull Market	Bear Market
Percentage reaching half height target	91%	78%
Percentage reaching full height target	74%	53%
Percentage reaching 2× height	53%	32%
Percentage reaching 3× height	40%	17%

Downtrends. Horns in downtrends are common. On the one hand, if the downtrend is just a retrace of the prevailing uptrend, then refer to the uptrend guideline. In such a case, if the horn appears after an extensive advance, then the uptrend may be nearly over. Invest cautiously or look elsewhere.